

**SUBSTITUTE FOR
SENATE BILL NO. 1041**

A bill to prohibit excessive pricing for certain lodgings during a declared state of emergency; to provide remedies and penalties; and to provide for the powers and duties of certain state and local governmental officers and entities.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 1. This act may be cited as the "hotel and lodging
2 pricing protection act".

3 Sec. 2. As used in this act:

4 (a) "Declaration of emergency" means a declaration of a state
5 of emergency.

6 (b) "Excessively increased price" means a price that
7 demonstrates an unjustified disparity between the average price at
8 which a specific lodging was advertised or offered for sale or rent



1 during the 30 days immediately before a declaration of emergency
2 and the price of lodging advertised, or offered for sale or rent,
3 at that specific lodging during or reasonably after a declaration
4 of emergency. As used in this subdivision, an unjustified disparity
5 is a disparity of more than 20% unless the person offering,
6 selling, or renting lodging can demonstrate that the increase in
7 price is attributable to an increase in the cost of the goods or
8 labor used in its business, an extraordinary discount in effect
9 before the declaration of emergency, a contracted price agreed to
10 before a declaration of emergency, or an adjustment in rates that
11 is regularly scheduled or consistent with season prices charged for
12 the lodging.

13 (c) "Lodging" means a building or structure kept, used,
14 maintained as, or held out to the public to be an inn, hotel, or
15 public lodging house. Lodging includes, but is not limited to, all
16 of the following:

17 (i) A full-service hotel, limited-service hotel, resort,
18 conference center, extended-stay hotel, vacation ownership, or
19 convention hotel offering permanent or temporary stays.

20 (ii) A bed and breakfast.

21 (iii) A space rented in a mobile home park or campground.

22 (iv) A short-term rental. As used in this subparagraph, "short-
23 term rental" means the rental of a single-family dwelling, dwelling
24 units in a building housing 1 to 4 separate dwelling units,
25 including, but not limited to, a duplex, triplex, or quadplex, or
26 any dwelling unit or group of units in a condominium projects, for
27 terms of not more than 30 consecutive days. Short-term rental does
28 not include the rental of a hotel, motel, hotel condominium, home,
29 or condominium unit that is located within a resort that offers

1 amenities such as golf, skiing, restaurant facility, or group
2 meeting accommodation where the resort manages the rental of such
3 dwelling units, or a bed and breakfast establishment.

4 (d) "Reasonably after" means 30 days after the expiration of
5 the declared state of emergency.

6 (e) "State of emergency" means a natural or man-made disaster
7 or emergency resulting from a tornado, earthquake, flood, fire,
8 riot, storm, act of war, threat of war, military action, or period
9 of instability following a terrorist attack, or a threat to the
10 public health, for which a state of emergency is declared by the
11 governor under the laws of this state.

12 Sec. 3. During or reasonably after a declaration of emergency,
13 a person engaged in the business of offering, selling, or renting
14 lodging shall not do any of the following in a county, city, or
15 township subject to the declared state of emergency:

16 (a) Charge an excessively increased price for lodging.

17 (b) Offer lodging for sale or rent at an excessively increased
18 price.

19 Sec. 4. (1) If the attorney general or a local prosecuting
20 attorney has reasonable cause to believe that an individual has
21 information or is in possession, custody, or control of any
22 document or other tangible object relevant to an investigation for
23 a violation of this act, the attorney general or prosecuting
24 attorney may serve on the individual a written demand to appear and
25 be examined under oath, and to produce the documents or object for
26 inspection and copying. The demand must meet all of the following:

27 (a) Be served on the individual in the manner prescribed for
28 service of process under the law of this state.

29 (b) Describe the nature of the conduct constituting the



1 violation under investigation.

2 (c) Describe the document or object with sufficient
3 definiteness to permit it to be fairly identified.

4 (d) If requested, contain a copy of the written
5 interrogatories.

6 (e) Prescribe a reasonable time at which the individual must
7 appear to testify and within which the individual must answer the
8 written interrogatories and the document or object must be
9 produced.

10 (f) Advise the individual that objections to or reasons for
11 not complying with the demand may be filed with the attorney
12 general or prosecuting attorney on or before the time described in
13 subdivision (e).

14 (g) Specify a place for the taking of testimony, or for
15 production, and designate the individual who is to be the custodian
16 of the document or object.

17 (h) Contain a copy of the language provided in subsection (2)
18 with appropriate citation.

19 (2) If an individual fails to comply with the written demand
20 served under subsection (1), the attorney general or a local
21 prosecuting attorney may file an action to enforce the demand.
22 Notice of hearing and a copy of the pleadings and other relevant
23 papers must be served on the individual, who may appear in
24 opposition. If the court finds that the demand is proper, the court
25 shall order the individual to comply with the demand, subject to
26 modification as the court may prescribe. On motion by the
27 individual and for good cause shown, the court may make any further
28 order in the proceedings that justice requires to protect the
29 individual from unreasonable burden or expense.



1 (3) An action filed under subsection (2) must be filed in the
2 circuit court of the county in which the individual resides or in
3 which the individual maintains a principal place of business within
4 this state, or in the circuit court for the county of Ingham.

5 (4) The fact that an investigative demand has been issued is
6 not confidential, but the testimony taken and material produced
7 during the investigation must be kept confidential unless an
8 enforcement action is brought against a person for violation of
9 this act. Once the action is filed, the investigative material may
10 be disclosed in the course of discovery, pursuant to a protective
11 order if the court considers appropriate, and in support of or
12 opposition to the claims and defenses raised in the action, but in
13 all other respects remains confidential.

14 Sec. 5. (1) The attorney general may bring a class action on
15 behalf of persons residing in or injured in this state for the
16 actual damages caused by conduct prohibited under section 3 to
17 recover actual damages or \$100.00, whichever is greater.

18 (2) On motion of the attorney general and without bond in an
19 action brought under this section, the court may make an
20 appropriate order to do any of the following:

21 (a) Reimburse persons who have suffered damages.

22 (b) Carry out a transaction in accordance with the aggrieved
23 persons' reasonable expectations.

24 (c) Strike or limit the application of unconscionable clauses
25 of contracts to avoid an unconscionable result.

26 (d) Grant other appropriate relief.

27 (3) The court after a hearing may appoint a receiver or order
28 sequestration of the defendant's assets if it appears to the
29 satisfaction of the court that the defendant threatens or is about



1 to remove, conceal, or dispose of the defendant's assets to the
2 detriment of members of the class.

3 (4) If at any stage of the proceedings under this section the
4 court requires that notice be sent to the class, the attorney
5 general may petition the court to require the defendant to bear the
6 cost of the notice. In determining whether to impose the cost on
7 the defendant, the court shall consider the probability that the
8 attorney general will succeed on the merits of the action.

9 (5) If the defendant shows by a preponderance of the evidence
10 that a violation of this act resulted from a bona fide error
11 notwithstanding the maintenance of procedures reasonably adopted to
12 avoid the error, the amount of recovery must be limited to actual
13 damages.

14 (6) The attorney general shall not bring an action under this
15 section more than 4 years after the occurrence of the method, act,
16 or practice that is the subject of the action and not more than 1
17 year after the last payment in a transaction involving the method,
18 act, or practice that is the subject of the action, whichever
19 period of time ends on a later date.

20 Sec. 6. (1) The attorney general may bring an action for
21 appropriate injunctive or other equitable relief and civil
22 penalties in the name of the people of this state for a violation
23 of this act. The court may impose a civil fine for each violation
24 of this act. For an individual, the civil fine must not be more
25 than \$10,000.00 per violation. For a person other than an
26 individual, the civil fine must not be more than \$500,000.00 per
27 violation.

28 (2) This state, a political subdivision, or a public agency
29 injured directly or indirectly by a violation of this act may bring



1 an action for appropriate injunctive or other equitable relief,
2 actual damages sustained by reason of a violation of this act and,
3 as determined by the court, interest on those damages from the date
4 of the complaint, and taxable costs. If the trier of fact finds
5 that the violation is flagrant, it may increase recovery to an
6 amount not to exceed 3 times the actual damages sustained by reason
7 of the violation.

8 Sec. 7. A person that violates section 3 with the intent to
9 accomplish a result prohibited by this act is guilty of a
10 misdemeanor punishable by imprisonment for not more than 1 year or
11 a fine of not more than \$10,000.00, or both, if an individual, or a
12 fine of not more than \$500,000.00 if a person other than an
13 individual.

14 Sec. 8. The remedies provided in this act are cumulative.

15 Sec. 9. If a witness has been or may be called to testify or
16 provide other information at a proceeding under or related to this
17 act, the circuit court for the county in which the proceeding is or
18 may be held may issue, on application of the attorney general,
19 asserting that in the attorney general's judgment the testimony or
20 other information may be necessary to the public interest and that
21 the witness has refused or is likely to refuse to testify, an order
22 requiring the witness to give testimony or provide other
23 information that the witness refuses to give or provide on the
24 basis of the privilege against self-incrimination, if the court
25 provides in its order that the witness shall not be prosecuted or
26 subjected to any penalty or forfeiture for, or on account of, any
27 transaction, occurrence, matter, or thing to which the witness
28 testifies or provides other information or evidence, documentary or
29 otherwise, and that the testimony, information, or evidence must



1 not be used against the witness in any criminal investigation,
2 proceeding, or trial, except a prosecution for perjury for giving a
3 false statement or for otherwise failing to comply with the order.

4 Sec. 10. This act does not exempt, limit, or impair the
5 attorney general's ability to investigate, determine, or impose
6 liability under the Michigan consumer protection act, 1976 PA 331,
7 MCL 445.901 to 445.922, or any other law of this state.

8 Sec. 11. This act does not prohibit an owner from evicting a
9 tenant for a lawful reason.

10 Enacting section 1. This act does not take effect unless all
11 of the following bills of the 103rd Legislature are enacted into
12 law:

13 (a) Senate Bill No. 1042 or House Bill No. 6102.

14 (b) Senate Bill No. 1043 or House Bill No. 6104.